facilities, while taking care to protect sensitive information. In February 2022, the sale of a physical house in Tampa Bay, USA, was executed using NFTs, for a value of 210 Ether, approximately $653,000!

***IP and patents:*** If IP is minted with a timestamped token, its current ownership and history can be easily verified and proved. Patent wars would be so easy to sort out! Sometimes, an inventor develops certain innovative IP along the way as a means to the whole. If the attempt is successful, he or she might file for a patent. If, unfortunately, the final result is not as expected, the creator can at least tokenise the successful components developed along the way and make them available to the community. These IP NFTs can also be monetised. Some researchers are considering self-publishing their work as NFTs so that their work can quickly reach the world, without the delay that is inherent in the patenting process.

***Supply chain and logistics:*** NFTs can be used to authenticate products, verify their origin, and ensure quality. NFT based supply chain data cannot be tampered, and helps avoid counterfeiting in food, medicine, and high-value luxury products. In eco-sensitive industries, it can be used to track and trace recyclable and sustainable materials and ensure their proper recycling or reuse. Carrefour Supermarket uses NFTs to guarantee secure and unfalsifiable traceability of products. The Ownest platform also enables you to track ownership on supply chains using NFTs.

***Industrial design and manufacturing:*** By tokenising the CAD data or files, manufacturers can ensure that their designs are not tampered or copied by contract manufacturers. File management and revisions can also be handled efficiently. Using NFTs, a manufacturer can track and trace components to ensure authenticity, and at each stage include information about the manufacturing process for the benefit of the next player in the workflow. NFT.SMARTMFG.IO from blockchain company Smart MFG Tech is a comprehensive tokenisation and marketplace solution for the creation, storage, sale, and transfer of industrial design assets as NFTs. It allows users to create and list unique NFTs, participate in auctions and commission custom-made industrial design and 3D models.

### To buy or not to buy

To buy or not to buy an NFT is a difficult decision because there is no thumb rule. At present it is highly speculative, and hence a very personal choice. The price of an NFT is entirely demand-driven and depends on how badly people want to buy it. A promising NFT might just fizzle out, or a seemingly dumb one might end up as a cash cow just because it caught someone's fancy! You buy an NFT hoping someone will want to buy it for a greater price in the secondary market—something that you have no control over. So, here are a few tips from experts on how to buy NFTs:

- Since it is a new trend with not much historic data, invest a small amount initially and see how it goes.
- Buy only what you can afford to lose.
- Make sure it offers some value to you—either emotional satisfaction or physical utility. You can buy it if you like the art or the artist, or believe in the cause behind it. You can buy it if it is something you really wish to own—a collectible close to your heart. That way, you do not feel the loss even if it does not sell in the secondary market!
- Do not buy NFTs just for the fear of losing out, or because you were invited to a drop.
- If you cannot get proper information about the art and the artist, avoid putting money in it.
- Look out for the good NFTs from social media, NFT marketplaces, and NFT drop calendars.

Do your due diligence each and every time, because no two NFTs are the same—remember they are non-fungible. "As not all stocks are same, so is the case for NFTs as well, and it is dangerous to bucket them all under one umbrella when thinking about investments. Just like we do research on which stocks or even property offers the potential of appreciation, we should be looking at individual NFTs in the same light. Each project has been created with a different set of utility surrounding it, being just for the artistic nature, access to some kind of associated utility, or even managing loyalty programs with multitude of variations," explains Menon.

## Problems aplenty

NFTs are not without their share of problems. Being a blockchain based technology, just like cryptocurrencies, it faces a lot of flak over its heavy energy usage. The proof-of-work system that keeps records secure on a blockchain is very energy-intensive. CrytoArt.wtf calculated that a simple GIF NFT can use around 200kWh for its creation, which is close to two weeks' power consumption of an EU resident.

Some players like Sega and ArtStation dropped their NFT plans after they faced a heavy backlash from the community over energy concerns. Beeple has promised to create carbon neutral work in the future. New blockchains like Palm and Flow claim to be low-energy and carbon-neutral, and plant trees to compensate for the environmental damage, if any. Polygon claims that you can mint an NFT on its blockchain using just as much energy as it takes to send three emails. Ethereum is also rolling out Ethereum 2.0 in phases. The 2022 and 2023 upgrades will enable the